

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

MOSES DAMISA, *Complainant*

v.

TRANS ATLANTIC SHIPPING LLC, *Respondent*.

DOCKET NO. 1967(F)

Served: August 27, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

INITIAL DECISION GRANTING MOTION FOR VOLUNTARY DISMISSAL WITHOUT PREJUDICE¹

I. Introduction

Complainant Moses Damisa initiated this proceeding by filing a small claims complaint against Respondent Trans-Atlantic Shipping LLC (“TAS”) with the Federal Maritime Commission (“Commission”) alleging that TAS violated section 41102(c) of the Shipping Act of 1984, 46 U.S.C. § 41102(c), in connection with an arrangement between the parties to ship Complainant’s property from the United States to Nigeria. Respondent denied the allegations.

Complainant moved to dismiss the complaint without prejudice so as to refile his complaint against Respondent in Georgia state court. Respondent opposes dismissal of this action without prejudice and seeks an award of attorney’s fees and costs incurred in this proceeding. Complainant opposes Respondent’s request for attorney fees and costs. For the reasons discussed below, this proceeding is dismissed without prejudice and Respondent’s request for attorney fees and costs is denied.

II. Procedural History

On December 22, 2020, the Commission issued a Notice of Filing of Small Claims Complaint and Assignment, assigning this proceeding to the Office of Administrative Law Judges. On January 15, 2021, Respondent filed its answer to the complaint and declined to use the Commission’s small claims procedures. On January 21, 2021, an order was issued assigning this claim to the undersigned for adjudication under the Subpart T procedures at 46 C.F.R. § 502.311-502.321 and requiring the parties to submit a joint status report identifying discovery requests.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. 46 C.F.R. § 502.227.

On February 22, 2021, the parties submitted a joint status report indicating that they had requested mediation through the Commission's Office of Consumer Affairs and Dispute Resolution Services ("CADRS"). On February 25, 2021, another order was issued, granting the parties one month to engage in mediation through CADRS and requiring a second joint status report by March 24, 2021. The parties were also instructed to voluntarily produce discovery to each other before the due date for the second joint status report.

On March 24, 2021, the parties filed their second joint status report and a third order was issued on April 1, 2021, granting them time until April 30, 2021, to voluntarily exchange discovery, engage in mediation, and to file a third joint status report. On April 30, 2021, the parties submitted their third joint status report and a fourth order was issued on May 3, 2021, granting them time until May 28, 2021, to finalize discovery, to schedule mediation, and to file a fourth joint status report setting a specific deadline to complete discovery and mediation. On May 28, 2021, a fourth joint status report was received from the parties and a fifth order was issued instructing the parties to conclude discovery and mediation and file a fifth joint status report with a proposed briefing schedule on June 30, 2021. On June 30, 2021, the parties submitted their fifth joint status report with proposed briefing schedule and on July 2, 2021, a scheduling order was issued requiring the completion of discovery in this proceeding by July 15, 2021, and the completion of briefing by September 15, 2021.

On July 26, 2021, Complainant filed a motion to dismiss the complaint without prejudice ("Motion"). On August 3, 2021, Respondent submitted a response opposing the motion ("Opposition"). On August 11, 2021, Complainant filed a reply to the opposition ("Reply").

On August 18, 2021, Respondent submitted a motion for leave to file a sur-reply ("Sur-reply Motion") together with the sur-reply ("Sur-reply"). Respondent asserts that it will suffer prejudice if not allowed to respond to Complainant's reply because of "erroneous assertion of facts and law and new arguments raised by Complainant for the first time in his Reply" and "the ongoing global Covid-19 pandemic and related elevated shipping costs [that] represent extraordinary circumstances for which the Commission should permit this sur-reply to allow TAS to defend its interest." Sur-reply Motion at 1.

On August 25, 2021, Complainant filed a response to Respondent's sur-reply ("Sur-reply Opposition"). Complainant argues that the sur-reply was improper but that alternatively, if the sur-reply is allowed, Complainant should be afforded the opportunity to reply and Complainant includes the arguments. Sur-reply Opposition at 1-3.

Typically, sur-replies are not permitted, however, decisions should be based on a full and complete record. Given the somewhat unusual posture of this case, where a motion for voluntary dismissal and request for attorney fees are filed prior to any dispositive rulings, both sur-replies provide additional relevant information and arguments. Accordingly, Respondent's sur-reply is accepted and its arguments in the sur-reply are incorporated as part of the record. In addition, Complainant's sur-reply opposition is accepted and arguments in the sur-reply opposition are incorporated as part of the record. The record is now complete and ready for decision.

III. Discussion

A. Relevant Law

Commission Rule 72(a)(3), which governs voluntary dismissal of complaints after the respondent has filed an answer, provides:

[A]n action may be dismissed at the complainant's request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3).

The Shipping Act addresses when attorney fees are appropriate. "In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees." 46 U.S.C. § 41305(e). Additionally, Commission Rule 254, governing the award of attorney fees in private party complaint proceedings, provides in pertinent part:

- (a) In any complaint proceeding brought under 46 U.S.C. 41301 . . . the Commission may, upon petition, award the prevailing party reasonable attorney fees
- (b) *Attorney fees* means the market value of the services of any person permitted to appear and practice before the Commission in accordance with subpart B of this part.

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- (c) (1) In order to recover attorney fees, the prevailing party must file a petition within 30 days after a decision becomes final.

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- (d) (1) The petition must:

- (i) Explain why attorney fees should be awarded in the proceeding;
- (ii) Specify the number of hours claimed by each person representing the prevailing party at each identifiable stage of the proceeding; and
- (iii) Include supporting evidence of the reasonableness of the hours claimed and the customary rates charged by attorneys and

associated legal representatives in the community where the person practices.

- (2) The petition may request additional compensation, but any such request must be supported by evidence that the customary rates for the hours reasonably expended on the case would result in an unreasonably low fee award.

46 C.F.R. § 502.254; *see also* Docket No. 15-06, *Final Rule, Organization and Functions; Rules of Practice and Procedure; Attorney Fees*, 81 Fed. Reg. 10508 (March 1, 2016) (“Final Rule”).

B. Argument of the Parties

Complainant asserts that the dismissal of this proceeding and refiling of his action in state court will not cause undue prejudice to Respondent, and that “there [are] no defenses available to Respondent in this Court that will be barred in Georgia state court.” Motion at 2.

However, Respondent opposes a dismissal without prejudice, urging that:

Complainant’s motion to dismiss be granted in part to dismiss the complaint and denied in part so that the claims therein are dismissed with prejudice and that TAS be awarded with attorney’s fees, costs, and expenses incurred in this case, or, in the alternative, TAS respectfully requests that Complainant’s motion be granted in its entirety but the dismissal be stayed until Complainant compensates TAS for its costs, expenses, and attorney’s fees incurred defending itself in this proceeding, or in the alternative, TAS respectfully requests that Complainant’s motion be denied in its entirety and this case proceeds to trial.

Opposition at 1.

Respondent argues that dismissal of Complainant’s complaint without prejudice will cause plain legal prejudice to it for the following reasons: Complainant’s explanation of its desire to dismiss shows that filing a new case in state court “would be a waste of judicial resources given the state court’s clear lack of jurisdiction to adjudicate [Complainant’s Shipping Act claims]” and the fact that “TAS will have to prepare for yet another trial under different circumstances;” Respondent has expended effort and expense preparing for trial in this proceeding; excessive delay and lack of diligence by Complainant in moving to dismiss given that “Complainant waited until the entire discovery was completed and until the week that his brief with proposed findings of fact and appendix was due to move to dismiss;” and Complainant’s dismissal is sought merely to escape an adverse decision or to seek a more favorable forum because the complaint fails to state a claim upon which relief can be granted. Opposition at 6-17.

In the reply, Complainant contends that a dismissal will not cause legal prejudice to Respondent and “it is ordinarily proper to grant a motion to dismiss unless the defendant will suffer some plain legal prejudice beyond the mere prospect of a second lawsuit.” Reply at 1-4 (quoting *Durham v. Florida East Coast Ry. Co.*, 385 F.2d 366, 368 (5th Cir. 1967)). Complainant asserts that it properly stated a claim for which relief could be granted and that because his

“claims have not been argued, briefed or decided by this Court, Respondent’s argument that [Complainant] failed to properly state a claim for which relief could be granted is without merit.” Reply at 2-4. Complainant contends that an award of attorney’s fees is not appropriate because TAS has not shown any evidence that the claims filed by Complainant amount to frivolous litigation. Reply at 6. Complainant states:

[Complainant] further shows the Court that he filed this Motion to Dismiss only after extensive discovery had been conducted and mediation had been attempted and failed. [Complainant] did not take earlier action to dismiss this case and file in state court because [he] wanted to take advantage of the mediation services available through the FMC. Respondent insisted that the parties engage in discovery prior to mediation and [Complainant] agreed. All discovery in this matter will benefit Respondent in the state court action. Likewise, mediation attended in this matter will also benefit the parties in the state court action.

Reply at 7. Complainant urges that if determined that his complainant should be dismissed with prejudice, attorney fees nevertheless be denied to Respondent. Reply at 8.

In its sur-reply, Respondent argues that the cases cited by Complainant in his reply are distinguishable from this case because they involve dismissal of a lawsuit in federal court to bring a lawsuit with the same claims in state court, while here, Complainant seeks dismissal of his complaint in order to bring different claims in state court. Sur-reply at 1. Respondent states that Complainant’s statement that mediation was completed in June 2021 and that his motion was filed after the conclusion of mediation was misleading because mediation was still ongoing as of July 14, 2021, and Complainant never stated to TAS or the mediator that the mediation had failed. Sur-reply at 3. Respondent avers that it would be a manifest injustice resulting in undue prejudice for TAS should Complainant’s claim be dismissed without prejudice and the dismissal is not conditioned upon the payment of costs and fees incurred by TAS in defending this suit. Sur-reply at 3.

Complainant alleges that while “Respondent contends that Complainant did not fully respond to discovery requests, Complainant likewise contends that Respondent has failed to respond to Complainant’s discovery requests,” the parties had “no way to move forward with mediation,” and the “timing of the decision was such that no prejudice would be suffered by Respondent and that all work product developed would be beneficial to Respondent in the State Court case.” Sur-reply Opposition at 2-3.

C. Analysis

1. Dismissal of the Complaint Without Prejudice is Appropriate

Pursuant to Commission Rule 72(a)(3), which governs dismissals in instances where the respondent has filed an answer to the complaint, “an action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

The parties agree that a voluntary dismissal may be with prejudice if there would be legal prejudice to a respondent. Opposition at 5-6; Reply at 4. The parties disagree, however, on what factors demonstrate legal prejudice. In this case, even under the factors identified by Respondent, legal prejudice is not established because (1) Complainant has provided a proper explanation for the motion to dismiss: that it seeks to file a related proceeding in state court; (2) Respondent was not required to file a brief, rather the expenses incurred were for hiring counsel, discovery, and mediation; (3) there was not excessive delay or lack of diligence from the parties; and (4) there was no pending motion or briefing on the merits when the voluntary withdrawal request was filed.

Although the parties have engaged in discovery and mediation, resulting in costs to both sides, this proceeding has not progressed so far that withdrawal of the complaint would be unduly prejudicial. Additionally, the parties have not yet briefed the merits of the allegations raised in the complaint nor has a decision been issued on the merits. Accordingly, Complainant's motion to dismiss his complaint without prejudice is granted.

2. Respondent is Not Eligible or Entitled to Recover Attorney Fees

In any private party complaint proceeding, the Commission is empowered "upon petition, [to] award the prevailing party reasonable attorney fees." 46 C.F.R. § 502.254(a). The party petitioning for attorney fees has the burden to show why it should be awarded the fees. *See* 46 C.F.R. § 502.254(d)(1) (stating in pertinent part that the petition must "[e]xplain why attorney fees should be awarded in the proceeding"); *see also Adenariwo v. BDP Int'l, Zim Integrated Shipping Ltd. and Its Agent (Lansal)*, 34 S.R.R. 771, 772 (FMC 2017) ("[t]he party seeking attorney fees bears the burden of establishing eligibility and entitlement to an award, providing evidence of the appropriate hours, and justifying the reasonableness of the rates" (citing *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, 34 S.R.R. 439, 444-45 (FMC 2016))).

A complainant "would generally qualify as the 'prevailing party' in a Commission proceeding when the presiding officer awards reparations or issues a cease and desist order." Final Rule, 81 Fed. Reg. at 10509. Similarly, a respondent would qualify as a prevailing party where the presiding officer issues a decision on the merits of the complaint and dismisses the complainant's claims with prejudice. *See, e.g., Edaf*, 34 S.R.R. at 445 (where the Commission held that the administrative law judge's dismissal of all the complainant's claims with prejudice represented "a success on the merits" for the respondents and because they "prevailed on all of Complainants' claims against them," the respondents were "eligible for an award of fees as prevailing parties"). Here, Complainant has been granted permission to withdraw his complaint and no decision has been reached on the merits of his claims that would warrant a dismissal with prejudice of those claims. *See Guttenberg v. Emery*, 68 F. Supp. 3d 184, 191 (D.D.C. 2014) ("[A]s numerous federal courts have made clear, a voluntary dismissal without prejudice under Rule 41(a) leaves the situation as if the action never had been filed." (quoting 9 Charles Alan Wright, *Federal Practice and Procedure* § 2367 (3d. ed. 2014))). Thus, Respondent is not a prevailing party under the Commission's rules.

Moreover, even if Respondent prevailed on the merits, it would not *ipso facto* be entitled to an award of attorney fees. In *Baltic Auto*, the Commission denied attorney fees in a case that was dismissed for statute of limitations grounds. The Commission found that the Complainant

in *Baltic Auto* “had a colorable argument that its claim arose within the statute of limitations and that the claim was not objectively unreasonable.” *Baltic Auto Shipping Inc. v. Hitrinov*, 34 S.R.R. 944, 955 (FMC 2017).

“The primary consideration in determining entitlement to attorney fees is whether such an award is consistent with the purposes of the Shipping Act, and any factors the Commission relies upon in individual cases should be consistent with these purposes.” Final Rule, 81 Fed. Reg. at 10515. The Commission elaborated:

The Shipping Act is intended not only to ensure a non-discriminatory process for the common carriage of goods, but also to provide and promote an efficient, competitive, and economic ocean transportation system. These later goals are furthered by encouraging the industry to continue to develop new ways of improving ocean transportation. In order to promote such improvements and assist the industry in evaluating potential option, it is important the boundary between legal and illegal conduct be demarcated as clearly as possible.

Final Rule, 81 Fed. Reg. at 10514. To that end, a relevant factor when deciding whether to award attorney fees is that “parties should be encouraged to litigate meritorious claims and defenses.” *Id.* at 91. So, even if this case was fully briefed and Respondents were successful on the merits, without more, they would not be entitled to attorney fees.

Awarding attorney fees against a complainant for withdrawing a complaint which was not determined to have been meritless would not comport with the Commission’s goal that “parties should be encouraged to litigate meritorious claims and defenses.” See Final Rule, 81 Fed. Reg. at 10515. Therefore, Respondent would not be entitled to recover attorney fees even it were a prevailing party, which it is not. Accordingly, Respondent’s request for award of attorney fees and costs is denied.

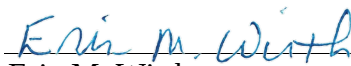
IV. Order

Upon consideration of the motion and the record herein, the arguments of the parties, and the conclusions set forth above, it is hereby

ORDERED that Complainant Moses Damisa’s motion for voluntary dismissal of his complaint be **GRANTED**. It is

FURTHER ORDERED that Respondent Trans-Atlantic Shipping LLC’s request for attorney fees be **DENIED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITHOUT PREJUDICE**.


Erin M. Wirth
Chief Administrative Law Judge